

1.3 Leg Work

One of the well-known investors, Peter Lynch is credited with coining the term "leg work." This method has gained popularity amongst people as anyone can perform it and generate interesting investment ideas. However this is a method that requires a lot of effort.

The idea behind walking around and investing is to actively go in different kinds of setup, look at products and services being consumed, the companies behind them and then generate investment ideas.

Mall



Things to look at while you visit a Mall

- Check for new store openings.
- Stores with long lines
- Most common brand bags carried by people
- Which food stores have foot traffic?
- Check for stores that have closed recently

Construction Site



Questions to ask at a Construction Site

- Construction materials used
- Machines used for construction
- Transportation equipment and their brands.

Travelling



Things to observe while you travel

- Availability of products and their brands
- How people book tickets, hotels?
- Which hotel chains are most popular choices?
- Food choices of people

Conclusion

Although it's very unlikely that we will act on every idea that is generated. But this exercise trains us to be more active and observant. This constantly tells us the things that are working and things that are not working. The companies that are performing on ground and ones that are not. Also this method requires effort which everyone is ready to put, so can your competitive edge over others.